

represented only changed financial appraisals. Nothing of fundamental or intrinsic consideration had happened.

A year later, some of this new sentiment had already been reversed. As the better chemical companies proved among the first to recover lost earning power and as their growth trend caused profits soon to go to new all-time high levels, they rather quickly regained their temporarily lost prestige. With the long-range significance of an ever-growing number of important new drugs tending further to bolster the status of the pharmaceutical stocks as against governmental attacks on pricing and patent policies of this industry working in the opposite direction, it will be interesting to observe over the next several years whether the recently regained standing of the pharmaceutical stocks grows still further or starts to shrink.

In the original edition I went on to give one (then) current example of this same sort of changed financial appraisal, by saying:

“One more example is a change in outlook that is taking place right now. For years the shares of the machine tool manufacturers have sold at a very low ratio to earnings. It was almost unanimously felt that machine tools were the epitome of a feast or famine industry. No matter how good such earnings were, they did not mean much because they were just the product of a prevailing boom and could not last. Recently, however, a new school, while by no means predominating the thinking on this subject, has been gaining converts. This school believes that since World War II a fundamental change has taken place affecting these companies. All industry has been swinging from short-to long-range planning of capital expenditures. As a result, the cause of extreme fluctuation for the machine tool companies has disappeared. High and rising wage rates will prevent for many years, if not forever, a return to the feast or famine nature of this business. The steady pace of engineering advance has increased and will further increase the pace of obsolescence of this industry's products. Therefore, in place of the largely cyclical prewar trends, the growth trend of the recent past will continue further into the future. Automation may cause this growth trend to be spectacular.

“Under the influence of those who think this way, the better machine tool stocks are now appraised on a somewhat more favorable basis in relation to